Share of new partner

Christy $= \frac{3}{7}$

In order to equate the denominator of Christy's share, multiply and divide by 10

$$= \frac{3}{7} \times \frac{10}{10} = \frac{30}{70}$$

New profit sharing ratio of Ravi, Kumar and Christy = $\frac{29}{70} : \frac{11}{70} : \frac{30}{70} = 29:11:30$

Illustration 11

Hameed and Govind are partners sharing profits and losses in the ratio of 5:3. They admit John as a partner. John acquires his share 1/5 from Hameed and 1/5 from Govind. Find out the new profit sharing ratio and sacrificing ratio.

Solution

Computation of sacrificing ratio and new profit sharing ratio

Share sacrificed = $\frac{1}{5}, \frac{1}{5}$

Sacrificing ratio of Hameed and Govind is 1:1

Old ratio is 5:3 that is $\frac{5}{8} : \frac{3}{8}$

New share of old partner = Old share - Share sacrificed

Hameed $= \frac{5}{8} - \frac{1}{5} = \frac{25-8}{40} = \frac{17}{40}$

Govind $= \frac{3}{8} - \frac{1}{5} = \frac{15-8}{40} = \frac{7}{40}$

Share of new partner

John = Sum of shares sacrificed by old partners

$$= \frac{1}{5} + \frac{1}{5} = \frac{2}{5}$$

In order to equalise the denominator of John's share, multiply and divide by 8

John's share = $\frac{2}{5} \times \frac{8}{8} = \frac{16}{40}$

New profit sharing ratio of Hameed, Govind and John is $\frac{17}{40} : \frac{7}{40} : \frac{16}{40}$ or 17:7:16

(b) When proportion of share sacrificed is given

(i) When share sacrificed is given as a proportion on old partners' share

When new profit sharing ratio is not given, but the share sacrificed is given as a proportion on old partners' share, new profit sharing ratio is calculated as follows:

12th-Accountancy-Unit-05.indd 151 12/9/2021 10:50:50 PM